

26STCV01649 26STCV01649

County: los-angeles

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Case Number: 26STCV01649 Hearing Date: July 31, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: July 31, 2026

Case Name: Yu v. Chung, et al.

Case No.: 26STCV01649

Matter: Demurrer

Moving party: Defendants Scott Youngu Chung, Sara Hansol Chung, SCJY, Inc., and

CHJJ, Inc

Responding party: Plaintiff Tim Yu

Ruling: The Demurrer is sustained in part, with 20 days leave to amend.

The Motion to Strike is granted, without leave to amend.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

On May 20, 2026, Plaintiff Tim Yu filed the operative First Amended Complaint ("FAC") for (1) breach of contract, (2) conversion, (3) breach of fiduciary duty, (4) fraud, (5) concealment, and (6) negligent misrepresentation. Plaintiff alleges that he invested \$260,000 in a restaurant business but received no benefit—Defendants actually used the funds for their own personal gain and then reneged on a promise to repurchase Plaintiff's shares.

Defendants Scott Youngu Chung, Sara Hansol Chung, SCJY, Inc., and CHJJ, Inc. now demur to the FAC for uncertainty and failure to state sufficient facts.

When considering demurrers, courts read the allegations liberally and in context, and "treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (Serrano v. Priest (1971) 5 Cal.3d 584, 591.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) It is error "to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment." (Aubry v. Tri-City Hospital Dist., (1992) 2 Cal.4th 962, 967.)

As an initial matter, the Demurrer of CHJJ, Inc. is sustained in its entirety, with 20 days leave to amend. The FAC fails to allege any facts with respect to CHJJ.

The first cause of action for breach of contract fails because the FAC fails to plead all material terms for a contract. The contract at issue is supposedly the promise to repurchase the \$260,000 in shares, but this alone is not a contract and, among other things, lacks consideration. The Demurrer is sustained as to the first cause of action, with 20 days leave to amend.

A cause of action for conversion of money requires an allegation of a specific, identifiable sum belonging to the plaintiff; a generalized claim for unliquidated profits or money owed under an accounting is insufficient (Voris v. Lampert (2019) 7 Cal.5th 1141, 1159; Kim v. Westmoore Partners, Inc. (2011) 201 Cal.App.4th 267, 284). Plaintiff alleges converted property consists generally of "profits, shares, commission, and other cash owed" (FAC ¶ 55). Because Plaintiff has not alleged a specific sum, the conversion claim fails. Leave to amend is granted.

Next, corporate officers and directors owe fiduciary duties to shareholders. Plaintiff adequately alleges an ongoing corporate relationship and fiduciary capacity as to individual Defendants Scott Youngu Chung and Sara Hansol Chung (FAC ¶¶ 19–22, 38, 46–47, 58). Thus, the demurrer is overruled as to Defendants Scott Chung and Sara Chung. However, a corporation does not owe a fiduciary duty to its own shareholders; therefore, the demurrer is sustained, with 20 days leave to amend, as to corporate Defendants SCJY, Inc. and CHJJ, Inc.

Fraud and negligent misrepresentation must be pleaded with heightened particularity, establishing who made what misrepresentation, when, where, and how (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) The FAC lacks this particularity. The Demurrer is sustained as to the fourth and sixth causes of action, with 20 days leave to amend.

Finally, as to concealment, Plaintiff adequately alleges that Defendants solicited and accepted Plaintiff's investment funds while intentionally concealing their true intent to divert those funds for their own personal gain. Taking these factual allegations as true for purposes of demurrer, Plaintiff has stated a viable claim for concealment.

In sum, the Demurrer of CHJJ is sustained, with 20 days leave to amend. The Demurrer of the remaining Defendants is sustained in part as set forth herein, with 20 days leave to amend.

Lastly, Defendants' Motion to Strike the reference to "Bernie Madoff" is granted as this reference is irrelevant and prejudicial. Leave to amend is denied.

Moving party to give notice.